

HOUSING FINANCE

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Housing
Finance

Turning dreams into homes

AUDITED FINANCIAL STATEMENTS AND DISCLOSURES FOR THE PERIOD ENDED 31 DECEMBER 2010

I	STATEMENT OF FINANCIAL POSITION	GROUP		COMPANY		III	DISCLOSURES	GROUP		COMPANY	
		31.12.2009 Audited (Ksh'000)	31.12.2010 Audited (Ksh'000)	31.12.2009 Audited (Ksh'000)	31.12.2010 Audited (Ksh'000)			31.12.2009 Audited (Ksh'000)	31.12.2010 Audited (Ksh'000)	31.12.2009 Audited (Ksh'000)	31.12.2010 Audited (Ksh'000)
A.	ASSETS						Non-Performing Loans and Advances				
1	Cash balances	106,118	101,224	106,118	101,224		a) Gross non-performing loans and advances	1,815,135	1,467,815	1,815,135	1,467,815
2	Balances due from Central Bank of Kenya	-	-	-	-		b) Less: Interest in Suspense	555,353	283,632	555,353	283,632
3	Government securities	509,507	539,835	509,507	539,835		c) Total non-Performing loans and advances (a-b)	1,259,782	1,184,183	1,259,782	1,184,183
4	Foreign Currency Treasury bills and bonds	-	-	-	-		d) Less: Loan loss provisions	505,430	439,916	505,430	439,916
5	Deposits and balances due from banking institutions	2,320,140	8,185,432	2,320,140	8,185,419		e) Net non-performing loans and advances(c-d)	754,352	744,267	754,352	744,267
6	Deposits and balances due from banking institutions abroad	-	-	-	-		f) Discounted value of securities	754,352	744,267	754,352	744,267
7	Government and other securities held for dealing purposes	-	-	-	-		g) Net Exposure(e-f)	-	-	-	-
8	Tax recoverable	-	-	-	-		Insider loans and advances				
9	Loans and advances to customers (net)	14,495,208	19,503,400	14,495,208	19,503,400		a) Directors, shareholders and associates	-	-	-	-
10	Investment securities	-	-	-	-		b) Employees	318,845	459,860	318,845	459,860
11	Balances due from group companies	-	-	-	-		c) Total insider Loans and Advances	318,845	459,860	318,845	459,860
12	Investment in associates	-	-	-	-		Off-Balance Sheet items				
13	Investment in subsidiary companies	-	-	130,020	130,020		a) Letters of credit, guarantees and acceptances	1,033	1,033	1,033	1,033
14	Investment in Joint ventures	-	-	-	-		b) Other contingent liabilities	-	-	-	-
15	Investment properties	-	-	-	-		c) Total contingent liabilities	1,033	1,033	1,033	1,033
16	Property and equipment	580,907	600,417	574,756	594,341		Capital Strength				
17	Prepaid operating lease rentals	49,257	48,615	42,171	41,710		a) Core capital	-	-	2,884,244	3,186,337
18	Intangible assets	4,146	3,085	4,094	3,068		b) Minimum Statutory Capital	-	-	250,000	500,000
19	Deferred tax asset	70,743	76,050	15,638	23,006		c) Excess/Deficiency	-	-	2,634,244	2,686,337
20	Retirement benefit asset	-	-	-	-		d) Supplementary capital	-	-	279,054	3,186,337
21	Other assets	103,333	220,338	83,109	203,818		e) Total capital (a+d)	-	-	3,163,298	6,372,674
22	TOTAL ASSETS	18,239,359	29,278,396	18,280,761	29,325,841		f) Total risk weighted assets	-	-	9,280,302	13,077,391
B.	LIABILITIES						g) Core capital /Total deposit liabilities	-	-	23.57%	19.98%
23	Balances due to Central Bank of Kenya	-	-	-	-		h) Minimum Statutory Ratio	-	-	8.00%	8.00%
24	Customer deposits	12,219,449	15,943,341	12,234,645	15,945,317		i) Excess/Deficiency	-	-	15.57%	11.98%
25	Deposits and balances due to local banking institutions	-	-	-	-		j) Core capital /Total risk weighted assets	-	-	31.08%	24.37%
26	Deposits and balances due to foreign banking institutions	-	-	-	-		k) Minimum Statutory Ratio	-	-	8.00%	8.00%
27	Other money market deposits	-	-	-	-		l) Excess/Deficiency (j-k)	-	-	23.08%	16.37%
28	Borrowed funds	1,700,000	8,604,269	1,700,000	8,604,269		m) Total capital /Total risk weighted assets	-	-	34.09%	48.73%
29	Balances due to group companies	-	-	2,851	14,958		n) Minimum Statutory Ratio	-	-	12.00%	12.00%
30	Tax payable	26,091	26,337	50,193	50,441		o) Excess/Deficiency (m-n)	-	-	22.09%	36.73%
31	Dividends payable	-	-	-	-		Liquidity				
32	Deferred tax liability	-	-	-	-		a) Liquidity Ratio	-	-	23.89%	55.73%
33	Retirement benefit liability	-	-	-	-		b) Minimum Statutory Ratio	-	-	20.00%	20.00%
34	Other liabilities	220,443	447,042	208,841	441,326		c) Excess(Deficiency) (a-b)	-	-	3.89%	35.73%
35	TOTAL LIABILITIES	14,165,983	25,020,989	14,196,530	25,056,311						
C.	SHAREHOLDERS' FUNDS										
36	Paid up capital	1,150,000	1,150,000	1,150,000	1,150,000						
37	Share premium	1,549,173	1,549,173	1,549,173	1,549,173						
38	Revaluation reserve	449,202	449,202	449,202	449,202						
39	Retained earnings	174,216	475,040	185,071	487,163						
40	Statutory Loan Loss Reserve	585,035	502,742	585,035	502,742						
41	Proposed dividends	115,000	80,500	115,000	80,500						
42	Capital grants	50,750	50,750	50,750	50,750						
43	TOTAL SHAREHOLDERS' FUNDS	4,073,376	4,257,407	4,084,231	4,269,530						
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	18,239,359	29,278,396	18,280,761	29,325,841						
II	STATEMENT OF COMPREHENSIVE INCOME	GROUP		GROUP							
		31.12.2009 Audited (Ksh'000)	31.12.2010 Audited (Ksh'000)	31.12.2009 Audited (Ksh'000)	31.12.2010 Audited (Ksh'000)						
1	INTEREST INCOME										
	1.1 Loans and advances	1,556,862	2,221,791	1,556,862	2,221,791						
	1.2 Government Securities	32,556	35,222	32,556	35,222						
	1.3 Deposits and Placements with banking institutions	214,704	218,801	214,704	218,802						
	1.4 Other interest income	-	-	-	-						
	1.5 Total Interest income	1,804,122	2,475,814	1,804,122	2,475,815						
2	INTEREST EXPENSES										
	2.1 Customers' Deposits	571,569	793,444	571,670	793,472						
	2.2 Deposits and placements from banking institutions	-	-	-	-						
	2.3 Other interest expenses	85,010	281,382	85,010	281,381						
	2.4 Total Interest expenses	656,579	1,074,826	656,680	1,074,853						
3	NET INTEREST INCOME	1,147,543	1,400,988	1,147,442	1,400,962						
4	OTHER OPERATING INCOME										
	4.1 Fees and commissions on loans and advances	85,156	103,294	85,156	103,294						
	4.2 Other fees and commissions	83,936	65,185	72,851	64,688						
	4.3 Foreign exchange trading income	-	-	-	-						
	4.4 Dividend income	-	-	-	-						
	4.5 Other income	57,810	85,717	50,764	84,474						
	4.5 Total Non interest income	226,902	254,196	208,771	252,456						
5	TOTAL OPERATING INCOME	1,374,445	1,655,184	1,356,213	1,653,418						
6	OPERATING EXPENSES										
	6.1 Loan loss provision	225,487	238,445	225,487	238,445						
	6.2 Staff costs	388,687	489,608	377,997	489,511						
	6.3 Directors emoluments	31,525	11,222	31,525	11,222						
	6.4 Rental charges	12,106	13,131	11,684	12,925						
	6.5 Depreciation on property and equipment	38,523	41,352	36,459	41,277						
	6.6 Amortisation charges	6,103	3,362	5,918	3,171						
	6.7 Other operating expenses	320,896	297,036	313,268	296,632						
	6.8 Total Other Operating Expenses	1,023,327	1,094,156	1,002,338	1,093,183						
7	Profit before tax and exceptional items	351,118	561,028	353,875	560,235						
8	Exceptional items	-	-	-	-						
9	Profit before tax but after exceptional items	351,118	561,028	353,875	560,235						
10	Current tax	(122,663)	(186,803)	(121,568)	(186,803)						
11	Deferred Tax	5,721	5,306	3,834	7,368						
12	Profit After Tax and exceptional items	234,176	379,531	236,141	380,800						
	Earnings per share	1.02	1.65	1.03	1.66						
	Dividend per share	0.50	0.70	0.50	0.70						



Annual General Meeting

Notice is hereby given that the 45th Annual General Meeting of the Company will be held at Nairobi on Friday 29 April 2011 at the Bomas of Kenya Auditorium at 11.00 am

Full notice and agenda will be published at a later date.

Message from the Directors

The above Balance Sheet and Profit and Loss Account are extracts from the Group's Financial Statements. The Financial Statements were approved by the board of directors on the 1st of March 2011 and were signed on its behalf by:

Mr. Steve Omenge Mainda - Chairman **Frank Ireri - Managing Director** **David R Ansell - Director**